

Chapter 8

Leadership

ORGANIZATIONAL BEHAVIOR

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What is Leadership?

- **Leadership is the process of influencing individuals or groups toward the achievement of goals**

Managers vs Leaders

Leader

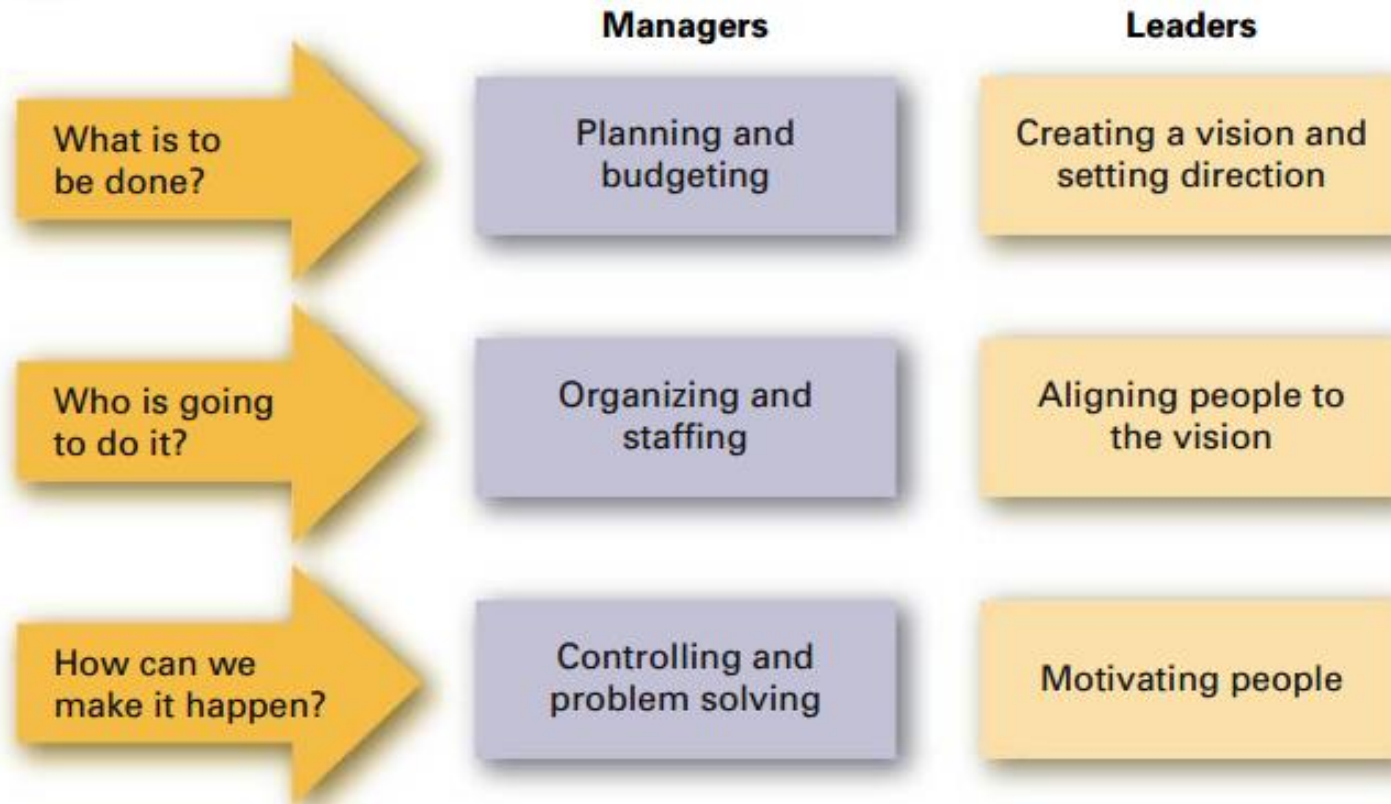
- Cope with change so as to transform organizations
- Provide vision and strategy to the organization

Manager

- Cope with the complexity of keeping organizations running effectively and efficiently
- Implement vision and strategy, coordinate and staff the organization, and handle day-to-day problems

Managers vs Leaders

EXHIBIT 8-1 Distinctions Between Managers and Leaders



Manager and Leader

- **One of the major functions of management is to lead**
- **Not all leaders have the capabilities or skills of effective managers**
- **Not all leaders should be managers. An individual who can set vision and strategy is not necessarily able to plan, organize, and control**

Trait Theories

Traits Theories of Leadership

- Focused on the characteristics of a leader that might be used to differentiate leaders from non-leaders.
- Consider physical stature, appearance, social class, emotional stability, fluency of speech, and sociability

Leadership Traits:

- Drive
- Desire to lead
- Honesty and integrity
- Self-confidence
- Cognitive intelligence
- Emotional intelligence
- Job-relevant knowledge
- Extroversion

Trait Theories

Limitations:

- **No consistent and unique traits found that would apply universally to all effective leaders.**
- **Traits alone were not sufficient to explain effective leadership.**

Behavioral Theories

Behavioral Theories of Leadership

Theories proposing that specific behaviors differentiate leaders from nonleaders.

- **Trait theory:**
Leaders are born, not made.
- **Behavioral theory:**
Leadership traits can be taught.

Behavioral Theories

- **UNIVERSITY OF IOWA STUDIES: Three leadership styles**
 - **Autocratic style:** centralize authority, dictate work methods, make unilateral decisions, and limit employee participation
 - **Democratic style:** involve employees in decision making, delegate authority, encourage participation in deciding work methods and goals, and use feedback as an opportunity for coaching employees
 - **Laissez-faire style:** give complete freedom to the group to make decisions and complete the work in whatever way it sees fit

Behavioral Theories

- **Which one is the most effective leadership style?**
 - The result is **mixed** when the evaluation criteria is **performance levels of the group members**.
 - More **consistent** results were found when a measure of **subordinate satisfaction** was used. Group members' satisfaction levels were generally higher under a democratic leader than under an autocratic one
- **Should they focus on achieving higher performance or on achieving higher member satisfaction?**
 - This recognition of the **dual nature of a leader's** behavior—that is, focusing on the task and on the people—is a **key characteristic of successful leaders**.

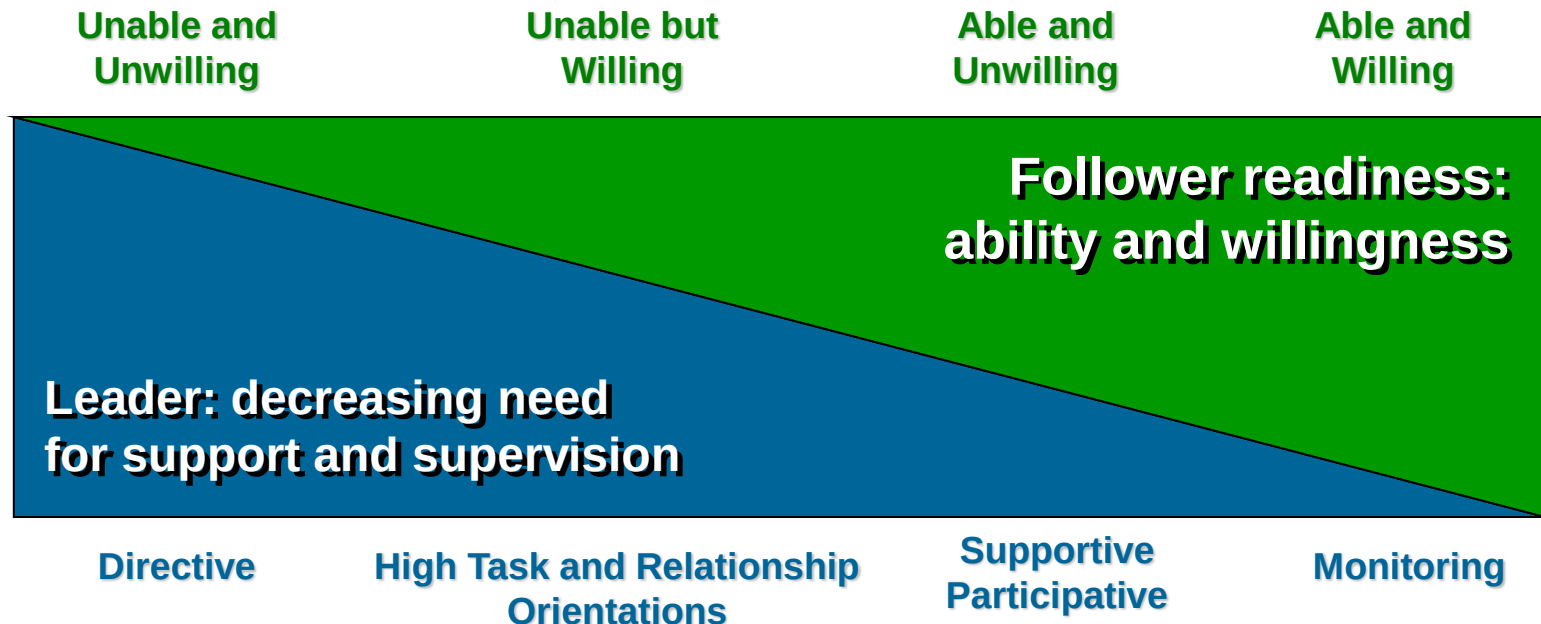
Contingency Theories

- **Identifying traits or key behaviors was not enough to understand what made good leaders**
- **Contingency researchers considered whether different situations required different styles of leadership**
 - Leadership style may **need to be adjusted** for different companies and employees, and perhaps even for different countries
 - **Not all leaders can lead in any situation**
- **We examine two contingency theories of leadership—Hersey and Blanchard's Situational Leadership and path-goal theory**
 - **Focus on the relationship of the leader to followers**

Hersey and Blanchard's Situational Leadership Theory

Situational Leadership Theory (SLT)

A contingency theory that focuses on followers' readiness.



Leadership Styles and Follower Readiness (Hersey and Blanchard)

**Follower
Readiness**

Unwilling

Willing

Able

**Supportive
Participative**

Monitoring

**Leadership
Styles**

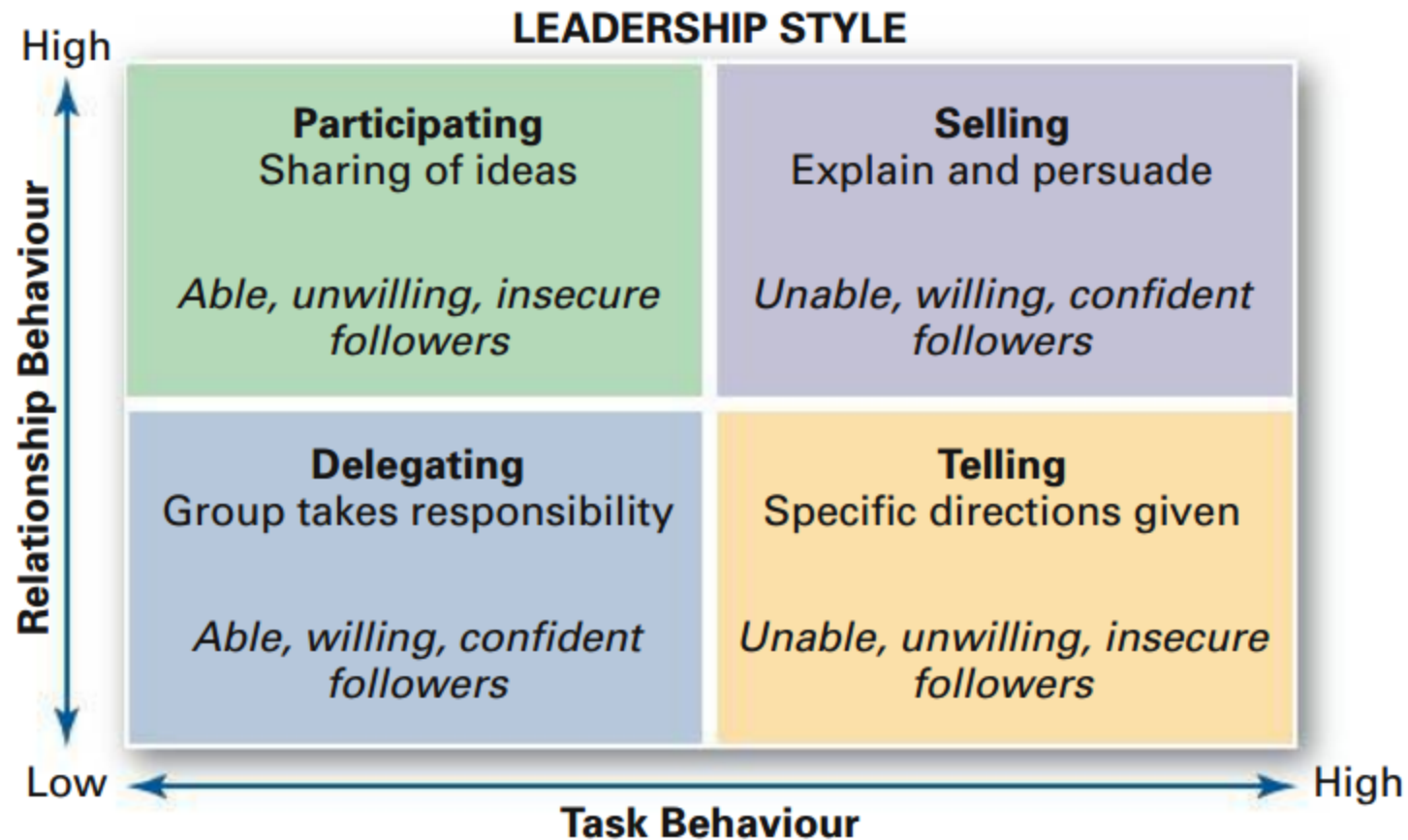
Unable

Directive

**High Task
and
Relationship
Orientations**

Hersey and Blanchard's Situational Leadership Theory

EXHIBIT 8-3 Hersey and Blanchard's Situational Leadership®



Path-Goal Theory

- The theory that it is the leader's job to
 - Assist followers in attaining their goals and
 - Provide them the necessary direction and/or support to ensure that their goals are compatible with the overall objectives of the group or organization.
- The term path-goal is derived from the belief that - effective leaders clarify the path to help their followers get from where they are to the achievement of their work goals and make the journey along the path easier by reducing roadblocks and pitfalls

Path-Goal Theory

➤ Four leadership behaviors:

1. **Directive leader:** Leader lets subordinates know what is expected of them, schedules work to be done, and gives specific guidance on how to accomplish tasks.
2. **Supportive leader:** Leader is friendly and shows concern for the needs of followers.
3. **Participative leader:** Leader consults with group members and uses their suggestions before making a decision.
4. **Achievement-oriented leader:** Leader sets challenging goals and expects followers to perform at their highest level.

➤ Leader can display any or all of these leadership styles, depending on the situation

Path-Goal Theory

EXHIBIT 8-4 Path-Goal Situations and Preferred Leader Behaviours



Current Issues in Leadership

➤ Managing Power

— Five sources of leader power

- **Legitimate power:** The power a leader has as a result of his or her position in the organization
- **Coercive power:** The power that rests on the leader's ability to punish or control
- **Reward power:** The power to give positive benefits or rewards
- **Expert power:** Influence that is based on expertise, special skills, or knowledge
- **Referent power:** The power that arises because of a person's desirable resources or personal traits

Current Issues in Leadership

➤ Developing Trust

- Important consideration for leaders is building *trust* and *credibility* in today's uncertain environment
 - Credibility is honesty, competence and ability to inspire. Honesty is the number-one characteristic of admired leaders.
 - Trust is the belief in the integrity, character, and ability of a person. Closely entwined with the concept of credibility.
- Five dimensions that make up the concept of trust
 - Integrity: Honesty and truthfulness
 - Competence: Technical and interpersonal knowledge and skills
 - Consistency: Reliability, predictability, and good judgment in handling situations
 - Loyalty: Willingness to protect a person, physically and emotionally
 - Openness: Willingness to share ideas and information freely

Current Issues in Leadership

➤ **Providing Ethical Leadership**

- Recent corporate and government financial scandals have increased the public's and politicians' concerns about ethical standards.
- Lack of ethics has been seen when leaders abuse their power and give themselves large salaries and bonuses while, at the same time, they seek to cut costs by laying off employee
- To judge any leader to be effective, we should consider both the moral content of his or her goals and the means used to achieve those goals

Current Issues in Leadership

➤ **Providing Online Leadership**

- Three fundamental challenges in providing online leadership:
 1. Communication: Need to learn new communication skills in order to be seen as effective.
 2. Performance management: Managing performance by defining, facilitating, and encouraging performance.
 3. Trust: Monitor and evaluate employees in the best way to influence employee behavior

Current Issues in Leadership

➤ **Team Leadership**

- The role of team leader is different from the traditional leadership role.
- Need to learn skills such as having the patience to share information, being able to trust others and to give up authority.
- Need to master the difficult balancing act of knowing when to leave their teams alone and when to get involved
- Certain common responsibilities of all leaders: coaching, facilitating, handling disciplinary problems, reviewing team and individual performance, training, and communication.

Current Issues in Leadership

➤ **Team Leadership**

- Focus on two priorities:
 1. managing the team's external
 2. facilitating the team process

- These priorities entail four specific leadership roles:
 1. liaisons with external constituencies.
 2. troubleshooters
 3. conflict managers
 4. coaches

Understanding Gender Differences and Leadership

- **Males and females do use different styles**
 - Women tend to adopt a more democratic or participative style
 - Men are more likely to use a directive, command-and-control style